OVERSIMPLIFICATION BY FINANCE BOOKS

Many finance books deal with debt and equity by simplifying it way too much. The common rule says that 100 minus our age is the percentage of assets that should go towards equity and the rest towards debt. So if we are 40 years old, 60% should go in equity in 40% in debt. However, this oversimplification does not work when we already know our goals. When we know our goals, we allocate our resources based on the requirements of each goal and in the process, the debt-equity ratio can come out to be anything. As mentioned before, mutual funds form the base of our plan.